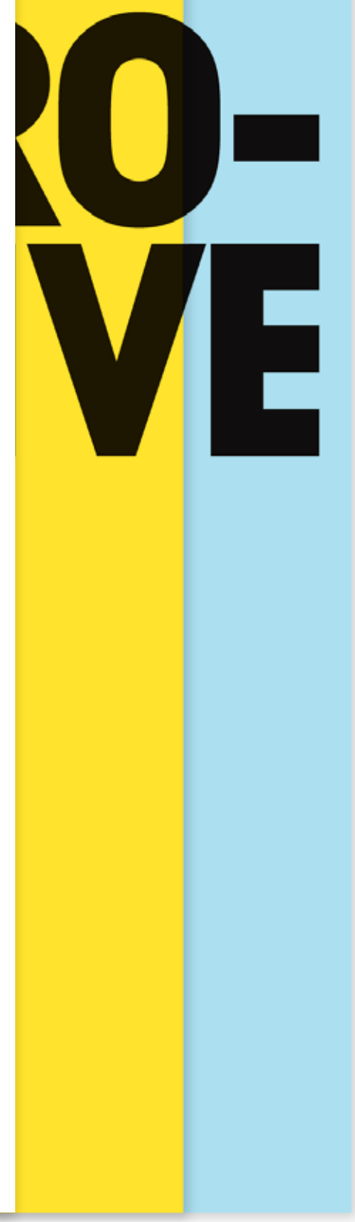
THE PRO-GRESSIVE YEARS

GENERAL INSURANCE ASSOCIATION OF SINGAPORE

Annual Report 2010

With change, innovation, dedication and perseverance comes progress. A series of significant leaps which GIA is proud to have achieved not only in the past year, but since we began developing and enhancing the profile of the General Insurance industry in Singapore. By continuing to actively reach out to our stakeholders, business associates and future talent pool, our work has set in place a steady momentum that will drive our industry to even greater heights.



THE PEOPLE

THE YEARS

THE FIGURES

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THE

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Our team's inherent
diversity is a strength
we constantly leverage to
achieve our common goals.

—

PEOPLE

RO-
VE

DEREK TEO

President



THE DOMESTIC GENERAL INSURANCE INDUSTRY POSTED A CREDIBLE 3.7% GROWTH WITH A TOTAL GROSS PREMIUM INCOME OF $3.03 BILLION IN 2010. THIS IS A NOTABLE INCREASE COMPARED TO THE 1.6% GROWTH IN 2009.

The Singapore economy's growth of 14.5% in 2010 was truly impressive, especially coming from a year of contraction in the wake of the global economic downturn. The overall general insurance industry also did impressively well with a 15% growth in 2010 compared to the previous year.

The domestic general insurance industry posted a credible 3.7% growth with a total gross premium income of $3.03 billion in 2010. This is a notable increase compared to the 1.6% growth in 2009. In doing so, the industry stayed on its positive growth track for the last five years.

STEADFAST UNDERWRITING RESULT

Even better was the overall underwriting profit in 2010, which posted a rise of 4.4% to $198.1 million from $189.7 million in the previous year, consistent with the industry's upbeat recovery since the plunge in its 2008 underwriting results.

For many years, we have not seen underwriting profits in the Work Injury Compensation business. But this turned around in 2010 with a good underwriting profit of $5 million. Both Fire and Personal Accident classes of business did consistently well, and coupled with insurers' prudent underwriting discipline, the general insurance industry recorded another year of steadfast profit.

Health Insurance, however, ended with disappointing results last year with a slump of 56% in its underwriting profit from $10.4 million in 2009 to $4.6 million last year. Our industry's largest portfolio, Motor Insurance, also showed underwriting loss deterioration from a $44.5 million loss in 2009 to a slightly bigger loss of $48.9 million in 2010. This was brought about, in part, by motor claims from the spate of flash floods.

A consolation though was the drop in the incurred loss ratio for motor to 73.7% in 2010, from 75.3% in the previous year. Motor also chalked up a considerable growth of 9% in earned premiums at $1,041 million, coinciding with an all-time high number of vehicles recorded last year at 945,829, up 2.2% from 2009.

MOTOR STILL CHALLENGING

The motor segment continued to present challenges to both insurers and motorists in claims management and pricing. I am glad that our initiatives to address these challenges are beginning to crystallise. The Motor Insurance Taskforce, co-chaired by presidents of the Consumers Association of Singapore (CASE) and Automobile Association (AA) of Singapore, and which GIA is a member of, had proposed a list of recommendations that addressed the root causes of motor insurance claims.

Among the 8 recommendations from the Taskforce were:

1. To legislate the requirement for pre-repair inspections by insurer for all Third Party Property Damage claims.
2. For accidents involving personal injuries, the Financial Industry Disputes Resolution Centre (FIDReC), GIA and the Subordinate Courts (SubCourts) are considering a Pre-Action Protocol.
3. It was recommended that accident reports be treated as statutory declarations. It is now left to the relevant authorities to decide the manner and time frame that this should be implemented.
4. To further speed up the resolution of motor accident disputes, the SubCourts has announced that the FIDReC-Non-Injury Motor Accident Scheme protocol limit will be increased from $1,000 to $3,000.

We are optimistic that once these recommendations are carried out or implemented, we are very likely to see improvements in incurred loss ratio as a result of cooperation from all stakeholders and, consequently, the end state will benefit consumers through stabilisation of motor insurance premiums.

FOSTERING BETTER CUSTOMER EDUCATION

Insurers need the customers' cooperation and support to be successful in our efforts to address the problem of rising motor claims costs. This is why we continued our efforts last year to raise awareness of and support for the Motor Claims Framework (MCF), a best practice that provides clear and common procedures on what customers should do in the event of a motor accident.

We launched a two-week publicity-cum-educational campaign on MCF in July on both English and Mandarin radio channels, where motorists were reminded of the key features of the framework during the morning and evening drive-time belts. For 2010, 81% of motor accidents were promptly reported within the 24-hour time frame. This is an improvement from the 64% who reported within the 24-hour time frame in 2008.

In July, a seminar entitled "Motoring & You" was held to further educate motorists on various aspects of motoring, including the MCF. Organised by CASE and AA Singapore, it was supported by MoneySENSE, GIA and the Singapore Road Safety Council. The morning seminar, which was attended by some 200 participants, dispensed tips and provided information on buying a car, road safety and

motor insurance. Feedback on the seminar was positive. Another similar seminar organised on 22 January 2011 was also well received.

HAPPIER CUSTOMERS

I am pleased to share the good news that more customers were satisfied with general insurers last year, according to a survey by the Institute of Service Excellence (ISES) at the Singapore Management University. Contributing to this was the customers' experience with their flash flood claims last year, which allowed insurers to demonstrate responsiveness and their ability to handle claims efficiently.

The estimated losses from 440 claims received due to the spate of flash floods in 2010 amounted to $11.4 million for property damage and business interruption. The aggregate losses from motor claims as a result of the floods amounted to $11.6 million from the 428 claims submitted to Motor Insurers.

Another example was the streamlining of the accident reporting and claims process through the industry-wide adoption of the MCF. Accordingly, general insurers became the only sub-sector within the finance and insurance industries in the ISES survey to see customers happier with their service than the previous year.

RAISING THE INDUSTRY'S PROFILE

To help boost the profile of the general insurance profession and put the spotlight on the various interesting careers that general insurance offers, we have been running a business profiling series in The Business Times for the past four years. In 2010, the Premium Professionals series profiled key industry professionals and careers in areas like marine insurance, specialty insurance, reinsurance and broking.

Through such media exposure, we have been able to bring the general insurance profession closer to the public, and in so doing, help generate greater awareness of our industry's relevance to society and the entire economy. Together with the Global Internship Programme, these efforts have raised greater interest in general insurance as a profession with diverse and unique career choices.

REACHING GREATER HEIGHTS

Looking back at 2010, it was another year full of fruitful activities – the Talent Outreach Project, Global Internship Programme, Maritime Knowledge Shipping Sessions, Charity Golf event and many more – that GIA organised to promote the interests of our members and further develop our industry. These activities would not have been successful if not for the support of our members and partners, as well as the industry regulator.

I would like to particularly thank all our members for volunteering their staff to participate in and contribute to our various standing committees – Motor, Work Injury Compensation, Property and Marine and others. Thank you as well to my fellow members of the GIA Management Committee for lending their leadership and time to our various initiatives and programmes.

My utmost gratitude also goes to the GIA Secretariat for working diligently, dedicatedly and efficiently to ensure GIA achieved its goals, and in doing so, help meet the expectations of our members, stakeholders and partners.

Looking forward, GIA will continue to build on its successes – be it in terms of talent-building initiatives, thought leadership, motor initiatives, customer education and cooperation with other Asian insurance bodies. With the support of our members, we can and will achieve greater heights in raising our industry's profile in society.

Thank you once again for your support of GIA.



MARK LIM

Executive Director



OUR ACTIVE PARTICIPATION IN KEY ISSUES, SUCH AS INFLATED MOTOR CLAIMS, WORK INJURY COMPENSATION AND LAST YEAR'S FLASH FLOODS, HAS CONTRIBUTED TO A GREATER AWARENESS AND RECOGNITION OF THE CRITICAL ROLE THAT GENERAL INSURANCE PLAYS IN OUR DAILY LIVES.

2010 proved to be another busy and vibrant year for GIA. A full and varied palette of activities was organised to promote and further develop the general insurance (GI) industry in Singapore. We would like to thank all members and key stakeholders who have strongly supported our many activities.

Now in its 44th year, the GIA has been tirelessly representing members' interests, working on key issues and forging greater collaboration amongst all parties in the industry. Our active participation in key issues, such as inflated motor claims, work injury compensation and last year's flash floods, has contributed to a greater awareness and recognition of the critical role that general insurance plays in our daily lives.

We welcomed three new members into our fold last year: Allied World Assurance Company Ltd, Aviva Ltd and Direct Asia Insurance (Singapore) Pte Ltd. This has boosted our membership figure to 36 (35 ordinary members and 1 associate member), enabling us to expand our reach and intensify our engagement with the industry.

CONSISTENT WITH OUR AIM OF ADDING VALUE TO THE INDUSTRY, GIA ORGANISED A CORPORATE SOCIAL RESPONSIBILITY TALK WHERE PARTICIPANTS LEARNED ABOUT THE ACTIVITIES THAT COULD HELP ADDRESS THEIR COMPANIES' NEEDS IN BUILDING POSITIVE RELATIONSHIPS WITHIN THEIR COMMUNITIES.

TALENT BUILDING

2010 marked a successful turn in our Global Internship Programme (GIP): We selected 33 interns from more than 400 applications received from the local universities. This was a substantial increase from the five interns GIP had when it was launched in 2008, and a notable growth from the 26 it produced in 2009. But an even better piece of news was that six of these 33 interns have joined the GI industry as full-time practitioners, allowing GIP to again meet the Monetary Authority of Singapore's target of having 15% of interns join the industry full-time upon graduation.

The programme continues to receive strong support from our industry players and, so far, it has also drawn the participation of direct insurers, reinsurers, brokers and reinsurance brokers.

GIP is the flagship programme under our Talent Outreach Project, which aims to create a fresh pool of talent from local universities for the general insurance industry. We have also been organising profiling talks and career fairs, with six successfully ran last year at local universities and junior colleges to identify students interested in pursuing a GI career.

These occasions also provided good opportunities to promote the GIP, as who could be better ambassadors than the programme interns who were present to share with other students their unique experiences interning at the global offices of their host companies.

A NIGHT OF APPRECIATION

There was no better way to end the year than to have a night of appreciation for the industry. The appreciation night served to recognise all contributors for their untiring and dedicated support of GIA's talent initiatives, key industry events and consumer programmes. 130 guests turned up to network and strengthen bonds built over the years with GIA. It was particularly a night to thank the industry's staunch supporters of our efforts to grow and develop the GI talent pool.

BUILDING INDUSTRY KNOWLEDGE

Building the talent pool alone is not enough of course. At GIA, we have always believed that the industry also needs to build and strengthen its various spheres of knowledge. And so last year, we ran once again the popular Maritime Knowledge Shipping Sessions to enhance the technical knowledge and insights of marine insurance professionals and maritime partners.

Organised by GIA and the Singapore Maritime Foundation, the seminar series has helped participants realise the importance of updating their knowledge and keeping abreast of trends and developments in the maritime industry. The strong turnout and positive feedback from the participants spoke of the series' success among industry practitioners. Indeed, these sessions have gained a significant following and become very much a part of the maritime landscape in Singapore.

Consistent with our aim of adding value to the industry, GIA organised a corporate social responsibility talk where participants learned about the activities that could help address their companies' needs in building positive relationships within their communities.

BEYOND THE LOCAL SHORES

As an active member of the Asian insurance industry, we lent our support to and participated in the biennial East Asian Insurance Congress in Indonesia and the ASEAN Insurance Council Meeting in the Philippines. We also played host to the annual GIA-PIAM-GIAB liaison meeting, where GIA and PIAM agreed to form a working committee to have a more active dialogue between Singapore and Malaysia insurers to discuss key issues and challenges in motor insurance.

GIA also received guest visitors from the Insurance Institute of Japan and the Insurance Association of China. These visits facilitated invaluable discussions on various lines of business and future collaborations.

SWINGING FOR CHARITY

Of course, the year would not be complete without seeing GIA give back to the community through our signature golf event, "GIA Swing for Charity". Last year's event raised more than $120,000 for the Singapore Children's Society in aid of needy children.

All in all, the tournament has helped us raise more than $500,000 for charities over the past five years.

WORKING TOGETHER TO ACHIEVE MORE

The year has underscored the fact that we are able to achieve our goals by working hand-in-hand with our members, partners, and associates. We will continue to work hard and achieve even more in our role to advance the industry's interests and help chart its progress. Through incisive planning and effective execution, we endeavour to bring even greater value to our members in 2011.





DEREK TEO

President

-

CHARTIS SINGAPORE
INSURANCE PTE. LTD.

-

DR MICHAEL GOODWIN

Vice-President

-

QBE INSURANCE
(INTERNATIONAL) LIMITED

-





A.K. CHER

Member

-

TOKIO MARINE INSURANCE
SINGAPORE LTD

-

ALAIN ADICEOM

Member

-

AXA INSURANCE
SINGAPORE PTE LTD
(UP TO OCT '10)

-



ANDREW LIM

Member

-

MSIG INSURANCE
(SINGAPORE) PTE LTD

-





STELLA TAN

Member

-

TENET INSURANCE
COMPANY LTD

-

TAN SUEE CHIEH

Member

-

NTUC INCOME INSURANCE
CO-OPERATIVE LTD

-





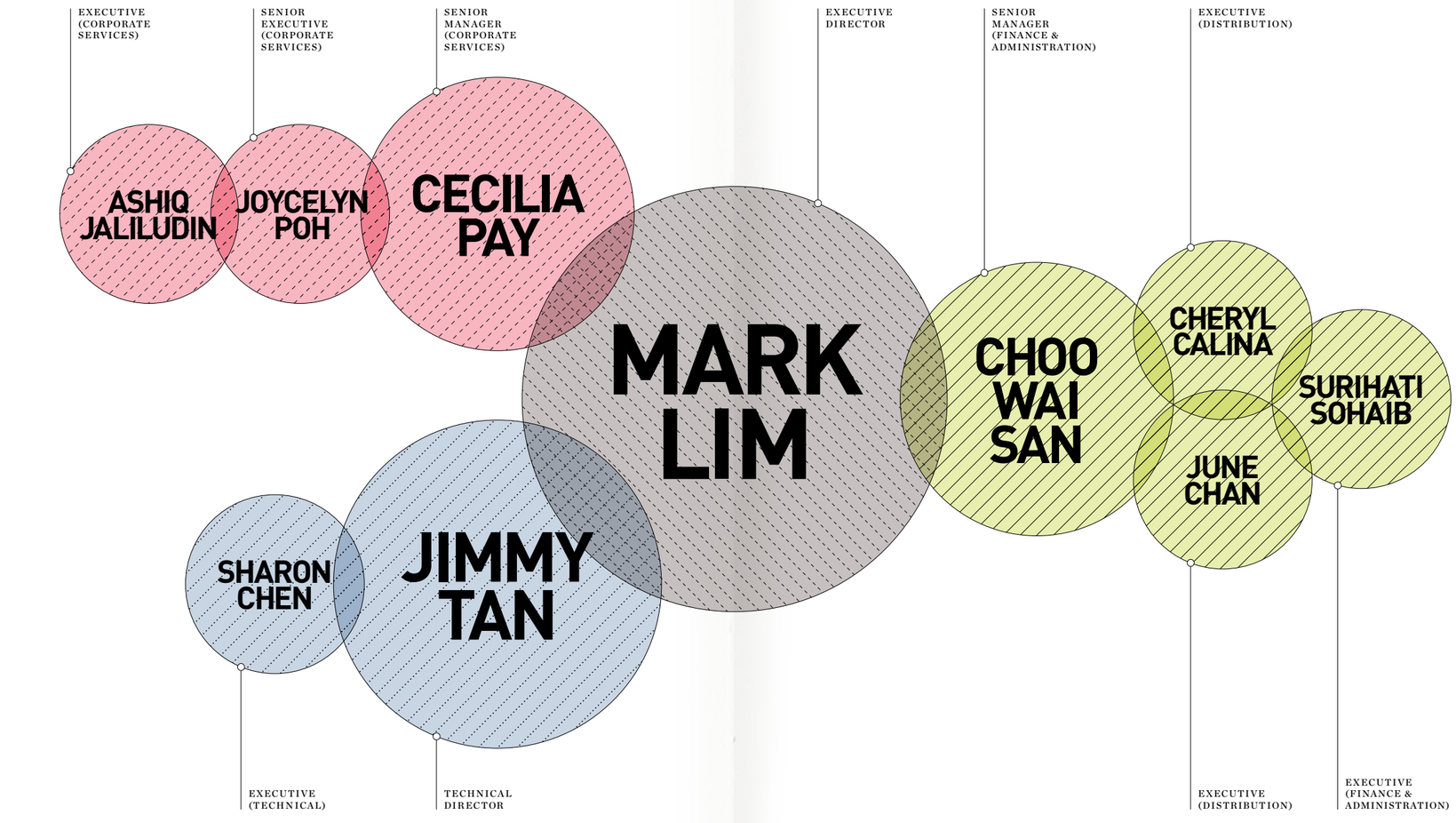
TERENCE TAN

Member

-

HSBC INSURANCE
(SINGAPORE) PTE LTD

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SENIOR EXECUTIVE (CORPORATE SERVICES)
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Allianz SE Reinsurance
Asia Pacific Branch

MEMBERS

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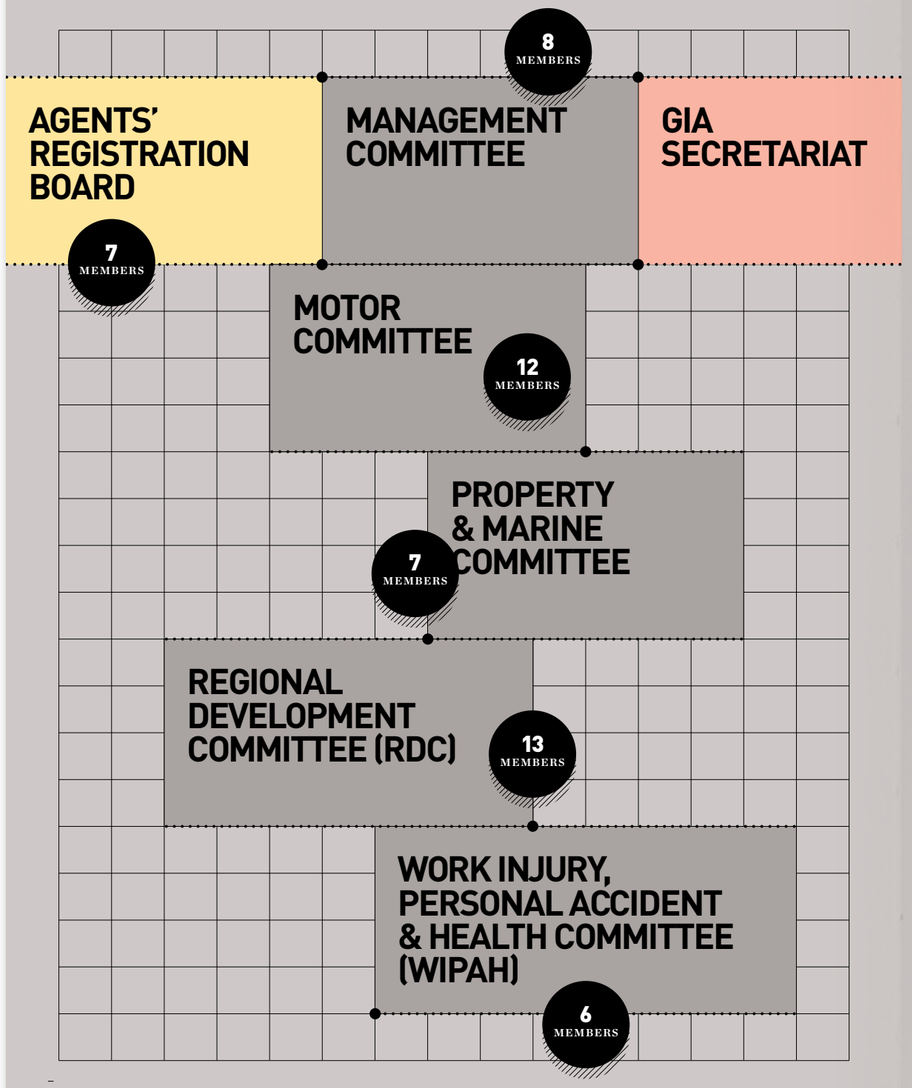
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ORGANISATION CHART



FORMER PRESIDENTS & VICE PRESIDENTS

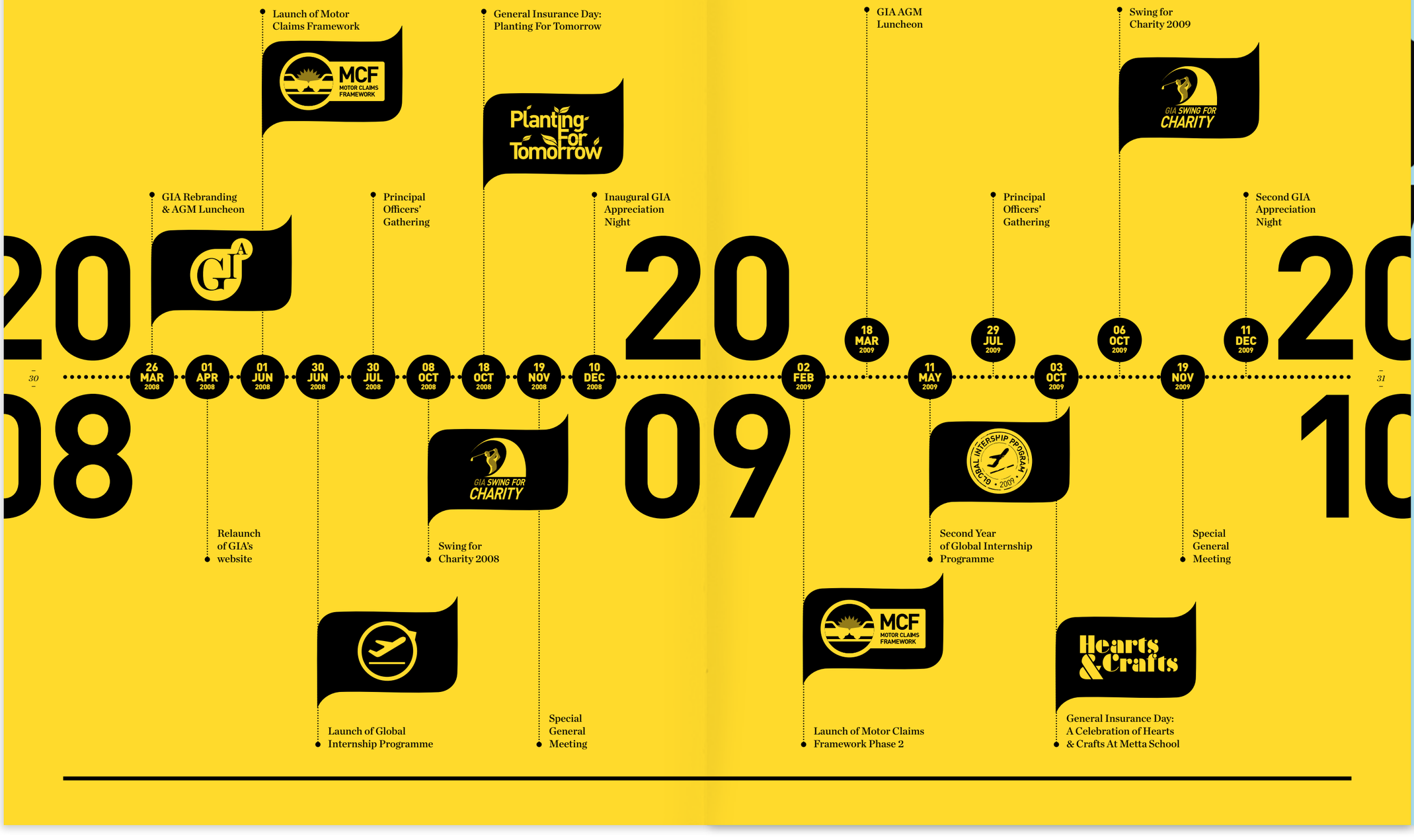
	PRESIDENT	VICE PRESIDENT
1966–1967	TAN HOAY GIE	A.E. SHEPERD / M.J.S. NEWMAN
1968	A.G. MACKENZIE	TAN ENG HENG
1969	A.D. MOODIE	TAN HOAY GIE
1970	MAURICE C. LEE	J.A. GILMOUR / D.M. RAE
1971	TAN HOAY GIE	J. POCOCK
1972	A.T. SHIMPI	D.J. COLLINS-TAYLOR
1973–1974	CHEW LOY KIAT	D.J. COLLINS-TAYLOR
1975	CHEW LOY KIAT	R.E. HUGHES
1976	A.T. SHIMPI	R.E. HUGHES
1977	A.T. SHIMPI	D.E. PARRY / P.J. RACKLEY
1978–1979	TAN HOAY GIE	P.J. RACKLEY
1980	HWANG SOO JIN	P.J. RACKLEY / G.L. ELLIS
1981	HWANG SOO JIN	G.L. ELLIS
1982	KOH BEE CHYE	D.S. WYBER
1983	KOH BEE CHYE	R.G. DOUGAL / N.F. SEDDON
1984	TEO KWANG WHEE	K.F. JONES / S.R. MOFFATT
1985	TEO KWANG WHEE	S.R. MOFFATT
1986	HWANG SOO JIN	S.R. MOFFATT
1987	HWANG SOO JIN	PAUL FRANKLAND
1988–1989	KOH BEE CHYE	LOO SUN MUN
1990–1991	PETER LEE BONG SOO	LOO SUN MUN
1992	PETER YAP KIM KEE	W.J. PERROTT
1993	PETER YAP KIM KEE	W.J. PERROTT / DAVID CHAN MUN WAI
1994–1995	DAVID CHAN MUN WAI	MARGARET YANG
1996–1997	LOO SUN MUN	DAVID CHAN MUN WAI
1998–1999	ALBERT KOH	DAVID CHAN MUN WAI
2000	SEOW NEE SHEK	DAVID CHAN MUN WAI
2001	LAW SONG KENG	PETER YAP KIM KEE
2002	LAW SONG KENG	NEIL EMERY
2003–2004	TERENCE TAN	STELLA TAN
2005	DEREK TEO	STELLA TAN
2006–2010	DEREK TEO	MICHAEL GOODWIN

THE PRO-GRESSIVE YEARS

THE

Through the years, every effort has been made to capitalise on different opportunities to set our industry on a positive growth track.

YEARS


2008
2009
2010
26 MAR 2008
GIA Rebranding & AGM Luncheon
01 APR 2008
Relaunch of GIA's website
01 JUN 2008
Launch of Motor Claims Framework
MCF
MOTOR CLAIMS FRAMEWORK
30 JUN 2008
Launch of Global Internship Programme
30 JUL 2008
Principal Officers' Gathering
08 OCT 2008
Swing for Charity 2008
GIA SWING FOR CHARITY
18 OCT 2008
General Insurance Day: Planting For Tomorrow
Planting For Tomorrow
19 NOV 2008
Special General Meeting
10 DEC 2008
Inaugural GIA Appreciation Night
18 MAR 2009
GIA AGM Luncheon
02 FEB 2009
Launch of Motor Claims Framework Phase 2
MCF
MOTOR CLAIMS FRAMEWORK
11 MAY 2009
Second Year of Global Internship Programme
GLOBAL INTERNSHIP PROGRAM
2009
29 JUL 2009
Principal Officers' Gathering
03 OCT 2009
General Insurance Day: A Celebration of Hearts & Crafts At Metta School
Hearts & Crafts
06 OCT 2009
Swing for Charity 2009
GIA SWING FOR CHARITY
19 NOV 2009
Special General Meeting
11 DEC 2009
Second GIA Appreciation Night

01 JAN 2010

22 01 Risk Management Seminar



25 01 NUS Profiling Talk

27-28 01 NTU Career Fair



02 FEB 2010

04-05 02 NUS Career Fair



24 02 Pioneer JC Career Fair and Profiling Talk



25 02 NTU Job Fair



03 MAR 2010

03 03 NTU Profiling Talk

10 03 Maritime Knowledge Shipping Session 12: "The Insured Maritime Adventure"



17 03 Launch of BT Premium Professionals (PART 1 OF 4)

18 03 NTU Risk Management Talk



24 03 GIA Annual General Meeting



30 03 SMU Internship Fair

04 APR 2010

14 04 Launch of BT Premium Professionals (PART 2 OF 4)





23 04 GIARMC Training

3-7 05 Pre-GIP Internship Training



7 05 GIP Cocktail Reception





05 MAY 2010

19 05 Launch of BT Premium Professionals (PART 3 OF 4)



06 JUN 2010

16 06 Launch of BT Premium Professionals (PART 4 OF 4)





24 07 Motor Education Seminar: "Motoring & You"





07 JUL 2010

28 07 Anderson JC Career Fair and Profiling Talk

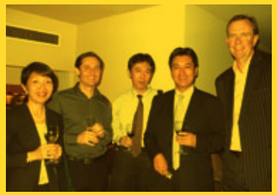
28 07 Visit by the Insurance Association of China



28 07 "No Fault Insurance" Talk

08 AUG 2010

04 08 PO Gathering



27 08 Corporate Social Responsibility Seminar



31 08 NTU Internship Fair



01 09 Maritime Knowledge Shipping Session 13: "Risk Assessment & Management"





09 SEP 2010

21 09 SMU Profiling Talk

22-23 09 GIA-PIAM-GIAB Liaison Meeting



14 10 NTU Profiling Talk



10 OCT 2010

15 10 General Insurance Day: "Mambo GIAmbo"





20 10 NUS Profiling Talk

03 11 Maritime Knowledge Shipping Session 14: "Marine Bulk Cargo, Liquid Cargo & Fire Claims"



04 11 Swing for Charity





08 11 Maritime Profiling Talk

12 11 Special General Meeting

11 NOV 2010

17 12 GIA Appreciation Night





12 DEC 2010



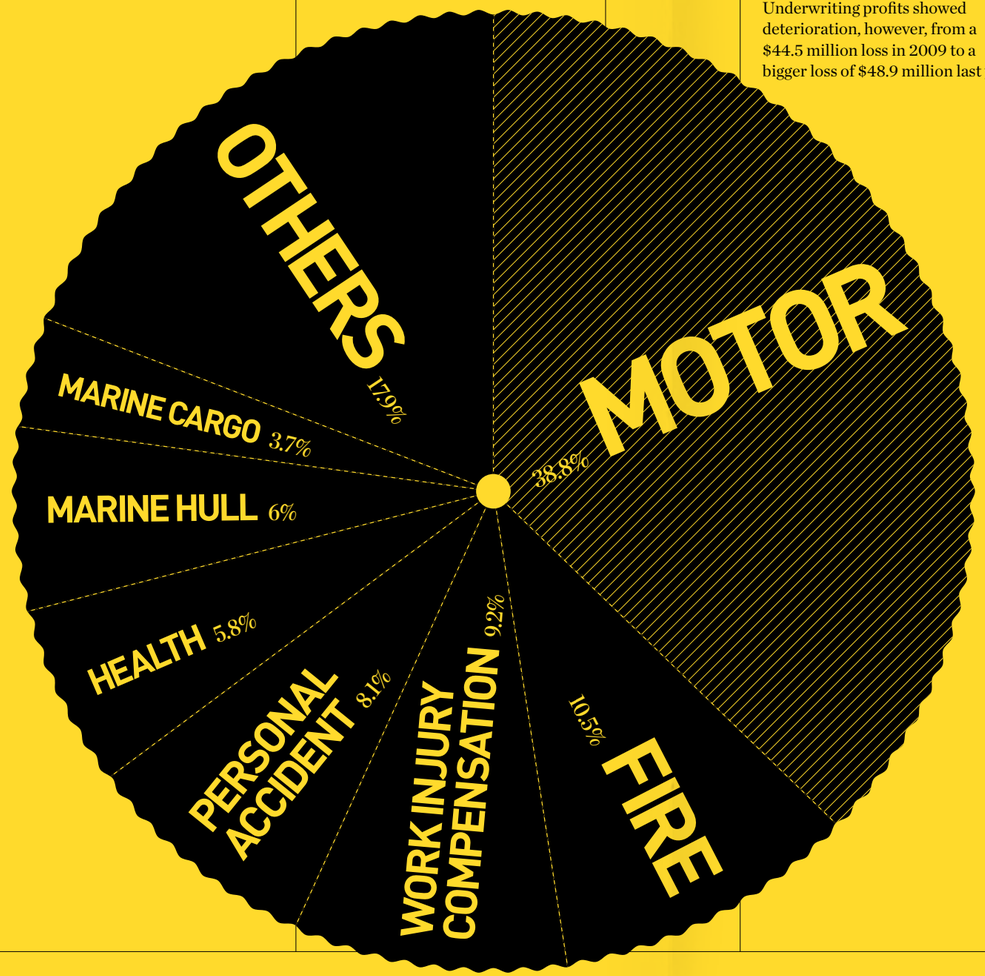


ON THE BACK OF THE STRONG ECONOMIC GROWTH REGISTERED BY THE SINGAPORE ECONOMY, THE GENERAL INSURANCE INDUSTRY IS MAKING A SMOOTH SAIL AS IT CLOSED ANOTHER YEAR OF STEADFAST BUSINESS, BOTH ON PREMIUM AND PROFIT FRONTS.

Total gross premium income climbed 3.7% to $3.03 billion last year from $2.92 billion in 2009, keeping the industry on a positive growth track for the last five years. Underwriting profits kept up and posted a rise of 4.4% to $198.1 million from $189.7 million in the prior year, consistent with the sector's upbeat recovery since the plunge in its 2008 underwriting result.

All classes of business, except Marine Cargo, posted growth in premiums, led by Personal Accident (10%) and followed by Motor (9%). Health Insurance posted no notable increase in premiums and saw its underwriting profits dive by more than 50%.

Work Injury Compensation, on the other hand, made a strong turnaround from faring worst in 2009 to becoming last year's brightest performer with a soaring underwriting profit. Fire also made a robust show of underwriting profit.



MOTOR 38.8%

Motor, which saw a slight increase in its share of the Singapore general insurance market, made a considerable growth of 9% in earned premiums at $1,040.7 million from the previous year's $956 million. This coincided with an all-time high number of vehicles recorded last year at 945,829, up by 2.2% from 925,518 in 2009.

Underwriting profits showed deterioration, however, from a $44.5 million loss in 2009 to a bigger loss of $48.9 million last year.

Still, this was far better compared to the record underwriting loss of $214.1 million in 2008.

FIRE 10.5%

Earned premiums were up 4% from $125.7 million in 2009 to $131 million last year. Likewise, it made a robust show of underwriting profit at $62.9 million, up 21% from $52 million in 2009.

Fire Insurance saw a slight decrease in its share of the market by Gross Written Premium (GWP), from 10.8% in 2009 to 10.5% last year.

WORK INJURY COMPENSATION (WIC) 9.2%

WIC was last year's brightest performer with its underwriting profit soaring 141% to $5 million. This was a turnaround from 2009 which registered an underwriting loss of $12.3 million.

Earned premiums grew only slightly at 5%, from $222.1 million in 2009 to $233.4 million last year. This segment's share of the general insurance market by GWP also increased to 9.2% from 9% in 2009.

PERSONAL ACCIDENT 8.1%

Earned premiums for Personal Accident went up by a promising 10% to $187.6 million in 2010 from the previous year's $170.5 million. This is coupled with a good underwriting result of $49.6 million, up 10% from $44.9 million in 2009.

HEALTH 5.8%

Health Insurance made no noteworthy change in its earned premiums in 2010. Underwriting profit saw a slump of 56% from $10.4 million in 2009 to $4.6 million last year, making the segment the biggest casualty in terms of underwriting results.

Health's share of the non-life market by GWP went down as well from 6.2% in 2009 to 5.8% last year.

MARINE HULL 6%

Earned premiums for Marine Hull were up 4% last year at $55 million from $53 million in 2009. Underwriting profits fell 20% though to $7 million from $8.8 million in the prior year. Likewise, the segment's share of the market dipped slightly in 2010 to 6% from 6.3% in the year before.

MARINE CARGO 3.7%

Just like in 2009, Cargo posted the biggest drop in earned premiums at 14 % to $73.1 million last year from $85.1 million in the prior period. Underwriting profits also dropped 8% to $35.7 million from $38.9 million in 2009.

Like Hull, Cargo's share of the general insurance pie by GWP decreased from 4.2% in 2009 to 3.7 % last year.

OTHERS 17.9%

Among the specialty lines of the general insurance business, Professional Indemnity and Public Liability made registered growths in gross premium income. Professional Indemnity delivered a strong growth of 26.7% to $98 million from $77 million in 2009, while Public Liability's gross premium jumped 2.5% to $110.8 million from $108 million in the prior year.

INCURRED LOSS RATIOS

The industry's total incurred loss ratio made another improvement last year by 0.8% to 57.6 % from 58.4% in 2009.

From a deterioration of 8.1% in 2009, WIC was last year's best performer in terms of its incurred loss ratio, recording a 9.2% decrease to 68.4% from 77.6% in 2009. This was followed by Hull, which saw a 2% improvement in incurred loss ratio from 64.1% in 2009 to 61.9% in 2010 – a stark contrast from the 22% increase it saw in 2009.

Motor also showed further improvement in its incurred loss ratio from 75.3% in 2009 to 73.7% last year.

Health Insurance recorded another year of deteriorating incurred loss ratio, posting a 4.5% increase to 62.1% from 57.6% in 2009, but this was already lower when compared to the 7.2% increase it registered in 2009.

REVIEW 01

FRESH FACES ON BOARD IN 2010

ALLIED WORLD ASSURANCE COMPANY LTD



AVIVA LTD



We welcomed three new members into GIA's fold in 2010: Allied World Assurance Company Ltd, Aviva Ltd and Direct Asia Insurance (Singapore) Pte Ltd. The Association now has 35 ordinary members and 1 associate member.



DIRECT ASIA INSURANCE (SINGAPORE) PTE LTD

WITH 3 NEW MEMBERS, GIA NOW HAS A TOTAL OF

35

ORDINARY MEMBERS & 1 ASSOCIATE MEMBER

NEW INITIATIVES WERE LAUNCHED TO HELP MOTORISTS AND INSURERS LOWER THE COST OF MAKING ACCIDENT CLAIMS.

REVIEW 02

ADDRESSING THE ROOT CAUSES OF INFLATED CLAIMS

The Motor Insurance Taskforce was set up in September 2009 to address the issue of high claims costs and premiums. Co-chaired by the Consumers Association of Singapore (CASE) and Automobile Association (AA) of Singapore, members of the Taskforce include the Monetary Authority of Singapore (MAS), Land Transport Authority (LTA) and GIA.

In March 2010, the Taskforce proposed a list of key recommendations to help address the root causes of inflated motor claims. These are:

2A THIRD PARTY PROPERTY DAMAGE (TPPD) CLAIMS

A proposal was made to legislate the requirement to conduct pre-repair inspections for all Third Party Property Damage (TPPD) claims.

2B ACCIDENTS INVOLVING PERSONAL INJURIES

The Financial Industry Disputes Resolution Centre (FIDReC), GIA and the Subordinate Courts (SubCourts) are considering a Pre-Action Protocol.

2C ACCIDENT REPORTS AS STATUTORY DECLARATIONS

It was recommended that Accident Reports be treated as Statutory Declarations.

2D TOUTING AND STAGING OF ACCIDENTS

The Taskforce recommended making touting on the roads a criminal offence.

2E FIDReC-NIMA PROTOCOL CLAIMS LIMIT

The SubCourts announced that the FIDReC-NIMA Protocol Limit will be increased from $1,000 to $3,000. However, the actual date of implementation has yet to be confirmed.

2F REGISTRATION OF SURVEYORS

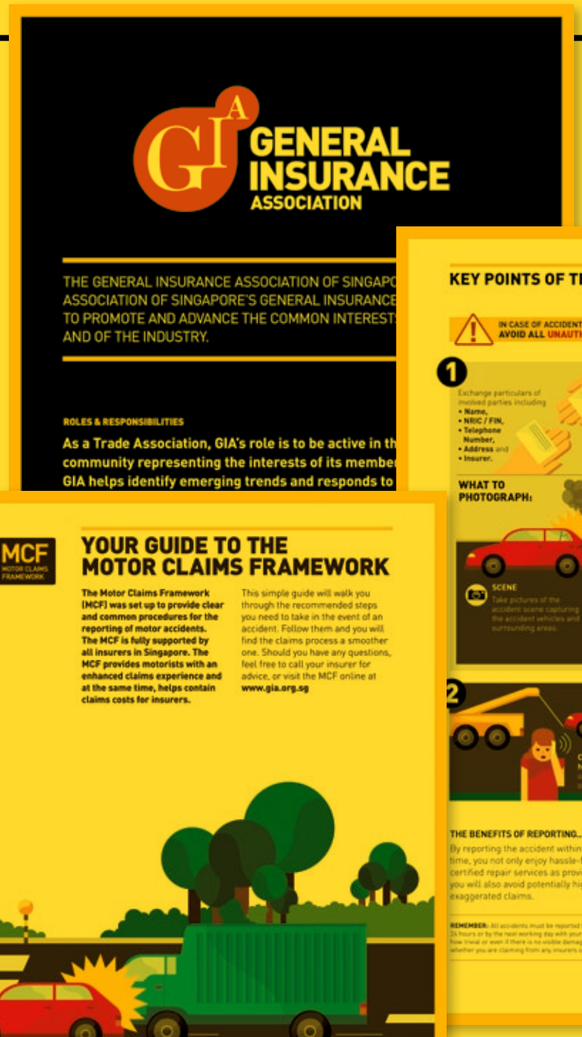
GIA, in collaboration with CASE and AA Singapore, will work together to set up an accreditation scheme.

2G ENHANCED BILLING TRANSPARENCY

The Singapore Motor Workshop Association was approached by the Taskforce to enhance transparency in billings.

2H CONSUMER EDUCATION

A public seminar entitled "Motoring & You" was held in July 2010 at the Suntec Convention Centre. Organised by CASE and AA Singapore, it was supported by MoneySENSE, GIA and the Singapore Road Safety Council. The seminar, which was attended by some 200 participants, dispensed tips and provided useful information on car buying, road safety and the Motor Claims Framework (MCF). CASE President Mr Yeo Guat Kwang also gave a progress report on the various recommendations and responses from the government agencies. Feedback on the seminar was positive and there are plans to organise a similar event in 2011.









REVIEW 03

DRIVING HOME THE MESSAGE FOR A MORE EFFICIENT MOTOR CLAIMS PROCESS

MCF MOTOR CLAIMS FRAMEWORK

GIA continued its efforts to raise awareness and support for the MCF, a best practice undertaken by motor insurers to provide clear and common procedures on what to do in the event of a motor accident. By guiding motorists to make their claims experience more efficient, the MCF also helps insurers contain their claims costs.

A two-week publicity-cum-educational campaign on the MCF was launched in July 2010 on both English and Mandarin radio channels. Motorists were reminded of the MCF's key features during the morning and evening drive-time belts. As a result, in 2010, 81% of motor accidents were reported within 24 hours.

81% REPORTED WITHIN 24 HOURS


The value of good people skills

OVER THE LAST TWO YEARS, GIA HAS BEEN TIRELESSLY PLAYING OUR ROLE TO FURTHER DEVELOP SINGAPORE'S GENERAL INSURANCE SECTOR. IN ADDITION TO CHAMPIONING THE ISSUES AND CAUSES OF THE SECTOR AND PROVIDING ASSISTANCE TO OUR MEMBERS, WE HAVE FORGED GREATER COLLABORATIONS WITH ASIA'S INSURANCE INDUSTRIES.

EMPHASISING OUR RELEVANCE WITH A HIGHER PUBLIC PROFILE

REVIEW 04

Our active involvement in key issues, such as inflated motor claims, work injury compensation and flooding incidents have earned us greater recognition. Likewise, our efforts to promote and enhance the image of general insurance, through activities such as the General Insurance Day and participation in events in Singapore and beyond, have all enhanced our public profile.

PREMIUM PROFESSIONALS SERIES IN NEWSPAPERS

Well into its fourth year, GIA's business profiling series in 2010 featured Premium Professionals of the general insurance industry in The Business Times broadsheet. Presented in four parts, the series profiled key industry professionals and careers in areas such as marine insurance, specialty insurance, reinsurance and broking.

By highlighting the interesting career options available in general insurance, the series has raised the industry's stature as a profession and created greater awareness of its relevance to society.


PREMIUM PROFESSIONALS 13

Rising need for specialty insurance

A shield against potential losses from lawsuits


Learning the ropes in the reinsurance business


Finding opportunities big and small

REVIEW 05

ENGAGING STAKEHOLDERS FOR THE BENEFIT OF THE INDUSTRY

AS WE CONTINUE TO DRIVE INDUSTRY GROWTH FURTHER, PROACTIVE DIALOGUE SESSIONS WERE HELD WITH RELEVANT AUTHORITIES, STAKEHOLDERS AND OTHER BUSINESS ASSOCIATES TO ADDRESS INDUSTRY ISSUES AND INTERESTS.

The Maritime Knowledge Shipping Sessions, organised jointly by GIA and the Singapore Maritime Foundation to upgrade the knowledge of industry practitioners, continued into its fourth successful year. The sessions were well attended with distinguished speakers and maritime experts presenting relevant topics in the shipping industry. Participants benefitted from new insights and perspectives on areas such as risk assessment and management, marine and fire claims and the insured maritime activities.

Through our participation in the ASEAN Insurance Council Meeting in the Philippines in November 2010, GIA also had the opportunity to interact with industry leaders from the region.



5A

GIA-PIAM-GIAB ANNUAL LIAISON MEETING IN SINGAPORE

GIA had the honour of hosting the Annual Liaison Meeting with our counterparts from the Persatuan Insurans Am Malaysia (PIAM) and the General Insurance Association of Brunei (GIAB) at the Pan Pacific Orchard on 23 September 2010. The meeting was attended by seven Malaysian and two Bruneian delegates. The yearly meeting provides a platform for representatives from all three associations to network and share valuable insights on issues faced by insurers from the three nations. GIA and PIAM agreed to form a Working Committee to spur more active dialogues between Singapore and Malaysia insurers and to discuss specific outstanding motor issues.

A welcome dinner was hosted for the delegates on 22 September 2010. The meeting ended with a friendly golf game held at the Tanah Merah Country Club's Tampines Course.

5B

DIALOGUE WITH MINISTRY OF MANPOWER ON PROPOSED CHANGES TO WORK INJURY COMPENSATION ACT (WICA)

Discussions were held with the Ministry of Manpower (MOM) on the proposed changes to WICA to refine its scope of coverage for compensable work injuries and occupational diseases, clarify the time frame which workers must decide to pursue their claims under WICA and the liability of the employer's insurer to settle claims. A feedback session with GIA members will be organised in 2011 to gather response from the industry and practitioners to these proposed changes.



ONE OF THE KEY PRIORITIES OF GIA IS TO BUILD OUR TALENT PIPELINE AND GROOM FUTURE LEADERS FOR THE INDUSTRY. TO ACHIEVE THIS, WE INITIATED THE TALENT OUTREACH PROJECT IN 2007 AND THE GLOBAL INTERNSHIP PROGRAMME (GIP) IN 2008.

REVIEW 06

ENERGISING THE INDUSTRY WITH YOUNG MINDS



6A TALENT OUTREACH PROJECT

In the wake of last year's economic downturn, despite retrenchments and hiring freezes in major industries, GIA pushed on with our Talent Outreach Project targeting students in junior colleges, tertiary institutions and young professionals in the financial services industry.

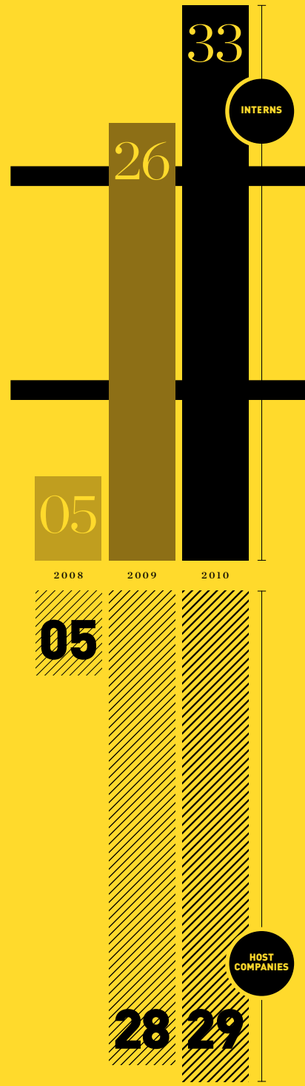
IN TOTAL, SIX CAREER FAIRS AND SEVEN PROFILING TALKS WERE CONDUCTED TO ATTRACT TALENT IN VARIOUS JUNIOR COLLEGES, POLYTECHNICS AND UNIVERSITIES.



Several campus talks were given at the National University of Singapore, Nanyang Technological University and Singapore Management University. We also participated in career fairs, receiving over 200 CVs from students who were interested to pursue a career in general insurance.

In total, six career fairs and seven profiling talks were conducted to attract talent and showcase general insurance career opportunities in various junior colleges, polytechnics and universities. Playing a key role in these talks were GIA's GIP interns, who were a big draw to their fellow students as they shared their internship experiences and exposure in the international outfits of their host organisations.





SINCE IT KICKED OFF IN 2008, GIA'S GLOBAL INTERNSHIP PROGRAMME HAS ATTRACTED A TOTAL OF 64 INTERNS.

6B

GLOBAL INTERNSHIP PROGRAMME

Since it kicked off in 2008, GIA's Global Internship Programme (GIP) has attracted a total of 64 interns. Just last year, we successfully hosted 33 interns. Six of them have since joined the general insurance industry as full-time practitioners.

Our success in retaining these interns has allowed GIP to meet the industry regulator's target of having at least 15% of the total number of interns join the industry full-time upon graduation.

In 2010, 29 companies took part in the programme to educate, train and coach interns in all areas of the insurance business: from underwriting various lines of insurance to claims, business development, marketing, product development and actuarial roles.

Industry players have supported the programme with much enthusiasm. Many even endorse it further by engaging the interns as part-time employees at the end of their stints. As insurers take greater interest in the programme, we expect to attract more interns and eventually practitioners into the industry, further boosting the general insurance sector's pool of talents and professionals.





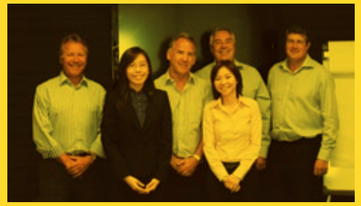


















EVERY YEAR, GIA ORGANISES THE CHARITY GOLF EVENT "GIA SWING FOR CHARITY" AS PART OF THE INDUSTRY'S COLLECTIVE EFFORT TO RAISE FUNDS FOR SOCIETY. WITH OUR FIFTH EVENT LAST YEAR, WE HAVE SO FAR RAISED MORE THAN $500,000 FOR OUR NOMINATED CHARITIES.

REVIEW 07

GETTING INTO THE SWING OF CHARITY











In 2010, the annual golf tournament was held at the Tanah Merah Golf and Country Club's Tampines Course on 4 November with over 130 industry professionals participating. The event was a resounding success thanks to unstinting support from our members and business partners. The Organising Committee was led by Mr Tan Suee Chieh, a GIA Management Committee member. More than $120,000 was raised for the Singapore Children's Society in aid of children and youth who are abused, neglected or born into dysfunctional families.



TO CELEBRATE GENERAL INSURANCE (GI) DAY, MORE THAN 300 GENERAL INSURANCE PROFESSIONALS, SENIOR MANAGEMENT, GUESTS AND MAS OFFICIALS GATHERED ON THE EVENING OF 15 OCTOBER 2010 FOR GIA'S FIRST EVER KARAOKE CONTEST.

Previously to commemorate GI Day, we had organised a tree planting day and a social visit to the Metta School, a welfare organisation. For 2010, a karaoke contest was proposed to give senior management of general insurance companies the opportunity to interact with their younger staff and colleagues in an informal, fun and relaxed atmosphere.



REVIEW 08

SING TO WIN ON GENERAL INSURANCE DAY



Fending off fierce competition, Ms Karen Lin, Assistant Executive, Underwriting (Cargo) from QBE Insurance (International) Limited, took the top spot after wowing the judges and crowd with her rendition of Bad Boy by Taiwanese pop star Zhang Hui Mei. Taking second and third place respectively were Ms Ng Xu Ting, an Executive in Partnership Distribution and Ms Gwendoline Lee, an Executive in HR Operations. Both ladies are colleagues from NTUC Income Insurance Co-operative Ltd.

THE PRO-GRESSIVE YEARS

THE

By maintaining a consistently prudent outlook, we have successfully produced results that maximise benefits to all.

FIGURES

STATEMENT BY THE MANAGEMENT COMMITTEE

GENERAL INSURANCE ASSOCIATION OF SINGAPORE (UEN: S66SS0020G)

In our opinion, the accompanying financial statements of the General Insurance Association of Singapore (the "Association") set out on pages 55 to 65 are properly drawn up in accordance with the provision of Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2010 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date.

On behalf of the Management Committee,



MR DEREK TEO
–
President



DR MICHAEL GOODWIN
–
Vice-President

SINGAPORE, 15 MARCH 2011

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF GIA

We have audited the accompanying financial statements of General Insurance Association of Singapore, which comprise the statement of financial position as at 31 December 2010, and the income and expenditure statement, statement of comprehensive income, statement of changes in fund and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes as set out on pages 55 to 65.

MANAGEMENT COMMITTEE'S RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The Management Committee is responsible for the preparation and fair presentation of these financial statements in accordance with the Constitution of the Association and Singapore Financial Reporting Standards. This responsibility includes: devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair income and expenditure statement and balance sheet and to maintain accountability of assets; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Association's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Association's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Management Committee, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

OPINION

a) the financial statements are properly drawn up in accordance with the Constitution of the Association and Singapore Financial Reporting Standards, so as to give a true and fair view of the state of affairs of the Association as at 31 December 2010 and of the results, changes in funds and cash flows of the Association for the financial year then ended on that date; and

b) the accounting and other records required by the regulations enacted to Societies Act to be kept by the Association have been properly kept in accordance with those regulations.



DAVID YEUNG & CO PAC
–
Public Accountants and Certified Public Accountants

SINGAPORE, 15 MARCH 2011

128A TANJONG PAGAR ROAD, SINGAPORE 088535
TEL: 6223 7979 FAX: 6222 7979

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2010

The notes set out on pages 58 – 65 form an integral part of and should be read in conjunction with this set of financial statements.

ASSETS	NOTE	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	2009 S$
Non-Current Assets					
Plant And Equipment	3	26,266	-	26,266	42,862
Current Assets					
Trade Receivables	4	14,639	59,605	74,244	90,969
Other Receivables		16,542	-	16,542	26,709
Receivable From GIARMC		11,628	-	11,628	-
Deposits		82,315	-	82,315	82,315
Prepayments		14,238	-	14,238	68,081
Cash And Cash Equivalents		236,196	146,878	383,074	263,738
Total Current Assets		**375,558**	**206,483**	**582,041**	**531,812**
Total Assets		**401,824**	**206,483**	**608,307**	**574,674**

FUNDS AND LIABILITIES	NOTE	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	2009 S$
Funds					
Accumulated Funds		320,646	116,866	437,512	499,098
Current Liabilities					
Trade Payables		7,850	61,787	69,637	44,187
Accruals		50,033	5,406	55,439	9,999
Other Payables		12,437	10,796	23,233	3,390
Amount Due To GIARMC		-	11,628	11,628	-
Provision For Taxation		10,858	-	10,858	18,000
Total Current Liabilities		**81,178**	**89,617**	**170,795**	**75,576**
Total Liabilities		**81,178**	**89,617**	**170,795**	**75,576**
Total Funds And Liabilities		**401,824**	**206,483**	**608,307**	**574,674**

INCOME AND EXPENDITURE STATEMENT FOR THE YEAR ENDED 31 DECEMBER 2010

The notes set out on pages 58 – 65 form an integral part of and should be read in conjunction with this set of financial statements.

INCOME	NOTE	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	TOTAL 2009 S$
Accident Reports		-	295,693	295,693	341,572
Agents' Registration Fees		683,525	-	683,525	656,713
Agents' Search Fee		261	-	261	42
Brochures And Decal Income		11,342	-	11,342	19,170
Client Third Party Insurer Enquiry Income		-	136,367	136,367	55,166
GIA Swing for Charity		64,632	-	64,632	69,130
General Insurance Day		-	-	-	-
IUMI Registration Fee		3,395	-	3,395	10,457
Job Credit Scheme		5,669	-	5,669	80,966
Levies On Ordinary Members		848,885	-	848,885	808,885
MAS Funding On Global Internship Programme		42,014	-	42,014	356,170
Motor-Barometer Of Liability (BOLA)		1,028	-	1,028	1,300
Other Income		-	-	-	2,698
Reimbursement From Motor Insurers' Bureau		20,980	-	20,980	20,868
Reimbursement From Special Risks Pool		12,740	-	12,740	3,640
Reimbursement From Financial Sector Development Fund		4,957	-	4,957	100
Reimbursement From Talent Outreach Project		-	-	-	6,827
Repairers And Surveyors		-	-	-	2,878
Searches		-	200,657	200,657	189,277
Singapore Insurance Institute/Singapore Liability And Casualty Conference		600	-	600	17,976
Sponsorship – Singapore Maritime Foundation		4,217	-	4,217	11,983
		1,704,245	**632,717**	**2,336,962**	**2,655,818**
Less: Expenditure (Page 56)		**(1,924,184)**	**(480,269)**	**(2,404,453)**	**(2,489,563)**
(Deficits)/Surplus Before Taxation		**(219,939)**	**152,448**	**(67,491)**	**166,255**

	NOTE	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	TOTAL 2009 S$
Less: Taxation	6	5,905	-	5,905	(1,018)
Net (Deficits)/Surplus For The Year		**(214,034)**	**152,448**	**(61,586)**	**165,237**

EXPENDITURE

	NOTE	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	TOTAL 2009 S$
Accounting Services Fee		8,740	22,400	31,140	22,594
Advertisement		2,649	-	2,649	150
Auditors' Remuneration		3,500	2,000	5,500	5,600
Agents' Registration Board Expenses		5,002	-	5,002	15,013
Bank Charges		585	1,114	1,699	1,859
Computerisation Services	7.1	134,013	-	134,013	148,939
Conference And Seminar		-	754	754	780
Data Storage		-	2,728	2,728	1,980
Depreciation Of Plant And Equipment	3	22,301	-	22,301	22,714
Electricity		3,697	-	3,697	3,414
Entertainment And Refreshment		8,369	874	9,243	5,963
Expenses Incurred On GIA/PIAM/GIAB Liaison Meeting		6,646	-	6,646	5,289
External Relations Committee		24	-	24	506
General Insurance Day		25,619	-	25,619	5,193
Gift And Donation		42	-	42	-
GIA Annual Report		16,500	-	16,500	22,377
GIA Appreciation Night		35	-	35	5,833
GIA Swing For Charity Expenses		64,765	-	64,765	64,791
GIA Website		14,780	-	14,780	14,230
GIA Newsletter		12,445	-	12,445	16,636
GIARMC And Filing Project		(1)	-	(1)	543
Insurance Expenses		30,953	-	30,953	15,628
Internet Expenses		9,947	-	9,947	10,307
IUMI Conference Expenses		-	-	-	10,401
Key Management Remuneration	7.2	290,047	-	290,047	298,151
Legal And Professional Fees		1,480	58,890	60,370	3,150
Management Fees	7.3	-	384,046	384,046	453,629
Office Cleaning		11,424	-	11,424	6,988
Medical Expenses		2,571	-	2,571	-
Meetings And Seminars	7.4	23,715	-	23,715	23,178
Miscellaneous Expenses		12,520	689	13,209	2,957
Motor Expenses		149,974	-	149,974	195,752
Newspapers And Publications		527	-	527	531
Office Rental And Services		249,950	-	249,950	229,121
Payroll Services		11,340	-	11,340	9,720
Photocopier Rental And Printing Expenses		14,268	-	14,268	14,127
Postages		339	2,300	2,639	3,446
Principal Officers' Social Gathering		9,367	-	9,367	8,275
Printing And Stationery		5,117	4,300	9,417	4,619
Property And Marine Expenses		10,773	-	10,773	9,531
Public Relations Consultancy		67,648	-	67,648	66,360
Recruit Agency Fees		2,580	-	2,580	-
Risk Management Expenses		300	-	300	5,931
Regional Development Committee Expenses	7.5	174,786	-	174,786	188,130
Singapore Insurance Institute/Singapore Liability And Casualty Conference		-	-	-	18,978
Sponsorships/Donations	7.6	27,500	-	27,500	43,731
SRP – Legal Fees		2,825	-	2,825	-
Staff Costs	7.7	381,105	-	381,105	340,742
Subscriptions	7.8	9,700	-	9,700	10,614
Talent Outreach Project		77,745	-	77,745	109,555
Team Building Activities Expenses		3,301	-	3,301	2,637
Tax Service Fee		4,866	-	4,866	4,855
Telecommunication		4,290	100	4,390	4,150

	NOTE	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	TOTAL 2009 S$
Transportation		852	74	926	598
Warehousing		1,586	-	1,586	5,162
Work-Injury Personal Accident And Health		1,077	-	1,077	24,205
		1,924,184	**480,269**	**2,404,453**	**2,489,563**

STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2010

The notes set out on pages 58 – 65 form an integral part of and should be read in conjunction with this set of financial statements.

COMPREHENSIVE INCOME

	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	2009 S$
Net (Deficit)/Surplus For The Year	(214,034)	152,448	(61,586)	165,237
Other Comprehensive Income	-	-	-	-
Total Comprehensive Income For The Year	**(214,034)**	**152,448**	**(61,586)**	**165,237**

STATEMENT OF CHANGES IN FUNDS

The notes set out on pages 58 – 65 form an integral part of and should be read in conjunction with this set of financial statements.

CHANGES IN FUNDS

	GIA S$	GIARMC S$	TOTAL S$
Balance As At 01.01.2009	262,932	70,929	333,861
Total Comprehensive Income	1,748	163,489	165,237
Transfer Of Fund From/(To)	**120,000**	**(120,000)**	-
Balance As At 31.12.2009/01.01.2010	384,680	114,418	499,098
Total Comprehensive Income	(214,034)	152,448	(61,586)
Transfer Of Fund From/(To)	**150,000**	**(150,000)**	-
Balance As At 31.12.2010	**320,646**	**116,866**	**437,512**

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2010

The notes set out on pages 58 – 65 form an integral part of and should be read in conjunction with this set of financial statements.

CASH FLOW

	2010 S$	2009 S$
Cash Flows From Operating Activities:-		
(Deficits)/Surplus Before Taxation	(67,491)	166,255
Adjustments For:-		
Depreciation Of Plant And Equipment	22,301	22,714
Operating (Deficits)/Surplus Before Changes Of Working Capital	**(45,190)**	**188,969**
Changes Of Working Capital:-		
Decreased/(Increase) In Trade And Other Receivables	80,735	(9,051)
Increased/(Decrease) In Trade And Other Payables	90,733	(45,017)
Cash Generated From Operating Activities	**126,278**	**134,901**
Income Tax Paid	(1,237)	-
Net Cash Generated From Operating Activities	**125,041**	**134,901**
Cash Flows From Investing Activities		
Purchase Of Plant And Equipment	(5,705)	(27,855)
Net Cash Used In Investing Activities	**(5,705)**	**(27,855)**
Net Increase In Cash And Cash Equivalents	**119,336**	**107,046**
Cash And Cash Equivalents At The Beginning Of The Year	263,738	156,692
Cash And Cash Equivalents At The End Of The Year	**383,074**	**263,738**

NOTE 1

1. GENERAL

The General Insurance Association of Singapore is registered under the Societies Act, Chapter 311. The registered office is located at 112 Robinson Road #05-03, Singapore 068902.

The principal activities of the Association relate to the protection, promotion, advancement and the doing of all things in furtherance of the common interests of members and the general insurance industry.

The financial statement of the Association for the year ended 31 December 2010 were authorised for issue in accordance with a resolution by the Management Committee on 15 March 2011.

The financial statements of the Association are expressed in Singapore dollars.

NOTE 2

2. SIGNIFICANT ACCOUNTING POLICIES

A) BASIS OF PREPARATION

The financial statements of the Association have been prepared in accordance with the historical cost convention, except as disclosed in the accounting policies below, and are drawn up in accordance with the provisions of the Singapore Financial Reporting Standards ("FRS") including its related Interpretation.

In the current financial year, the Association has adopted all the new and revised FRS and Interpretations of FRS ("INT FRS") that are relevant to its operations and effective for annual periods beginning on or after 1 January, 2010. The adoption of these new/revised FRSs and INT FRSs have no material effect on the financial statements.

B) SIGNIFICANT ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates, assumption concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Association's accounting policies, reporting amounts of assets, liabilities, income and expenses and disclosures made. They are assessed on an on-going basis and are based on experience and relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

The critical accounting estimates and assumptions used and areas involving a high degree of judgement are described below.

Critical assumptions used and accounting estimates in applying accounting policies

Income tax

The Association recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. When the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

Useful lives of plant and equipment

As described in Note 2(c), the Association reviews the estimated useful lives of plant and equipment at the end of each annual reporting period. The estimated useful lives reflect the Management's estimation of the periods that the Association intends to derive future economic benefits from the use of the Association's plant and equipment. Changes in the expected level of usage and the residual values of these assets, therefore future depreciation charges could be revised.

The carrying amount of plant and equipment as at the end of the reporting period are disclosed in Note 3 to the financial statements.

Critical judgements made in applying accounting policies

In the process of applying the entity's accounting policies, management had made the following judgements that have the most significant effect on the amounts recognised in the financial statements.

Allowance for bad and doubtful debts

The Association makes allowances for bad and doubtful debts based on assessment of the recoverability of trade and other receivables. Allowances are applied to trade and other receivables where events or changes in circumstances indicate that the balances may not be collectible. The identification of bad and doubtful debts required the use of judgement and estimates. Where the expected outcome is different from the original estimate, such difference will impact carrying value of trade and other receivables and doubtful debt expenses in the period in which such estimate had been made.

Impairment of plant and equipment

The Association assesses annually whether plant and equipment have any indication of impairment in accordance with the accounting policy. The recoverable amounts of plant and equipment have been determined based on value-in-use calculations. These calculations require the use of judgement and estimates.

C) PLANT AND EQUIPMENT

Plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated on a straight-line method so as to write off the costs of the plant and equipment over their estimated useful live as follows:-

Office equipment	3 years
Computers	3 years
Furniture and fittings	3 years
Renovation	3 years

Fully depreciated plant and equipment are still retained in the financial statements until they are no longer in use.

The carrying values of plant and equipment are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The residual values, useful live and depreciation method are reviewed at each financial year-end to ensure that amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of plant and equipment.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset is included in the income and expenditure statement in the year the asset is derecognised.

D) CASH AND CASH EQUIVALENTS

Cash and cash equivalents comprise cash in hand and at bank which are readily convertible to known amounts of cash and subject to insignificant risk of changes in value.

E) FINANCIAL ASSETS

Classification

The Association classifies its financial assets as loans and receivables. The classification depends on the purpose for which the assets were acquired. Management Committee determines the classification of its financial assets at initial recognition and re-evaluates this designation at every reporting date.

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. These arise when the Association provides money, goods or services directly to a receivable with no intention of trading the receivables. Loans and receivables consist of cash and cash equivalents and trade and other receivables.

Recognition and Derecognition

All financial assets are recognised on their trade-date-the date on which the Association commits to purchase or sell the asset.

Financial assets are derecognised when the rights to receive cash flows from have expired or have been transferred and the Association has transferred substantially all risks and rewards of ownership.

Measurement

Financial assets are initially recognised at fair value plus directly attributable transaction costs.

Loans and receivables are subsequently carried at amortised cost using the effective interest method less impairment.

Impairment

Significant financial difficulties of the receivable, probability that the receivables will enter bankruptcy, and default or significant delay in payments are objective evidence that these financial assets are impaired.

The carrying amount of these assets is reduced through the use of an impairment allowance account which is calculated as the difference between the carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. When the asset becomes uncollectible, it is written off against the allowance account. Subsequent recoveries of amounts previously written off are recognised against the same line item in income and expenditure statement.

The allowance for impairment loss account is reduced through income and expenditure statement in a subsequent period when the amount of impairment loss decreases and the related decrease can be objectively measured. The carrying amount of the asset previously impaired is increased to the extent that the new carrying amount does not exceed the amortised cost had no impairment been recognised in prior periods.

F) FINANCIAL LIABILITIES

Financial liabilities include trade and other payables. Financial liabilities are recognised on the statement of financial position when and only when, the Association becomes a party to the contractual provisions of the financial instrument. Financial liabilities are initially recognised at fair value of consideration received less directly attributable transaction costs and subsequently measured at amortised cost using the effective interest method.

Gains and losses are recognised in the income and expenditure statement when the liabilities are derecognised as well as through the amortisation process. The liabilities are derecognised when the obligation under the liability is discharged, cancelled or expired.

G) IMPAIRMENT OF NON-FINANCIAL ASSETS

The carrying amounts of the non-financial assets subject to impairment are reviewed at the end of each reporting period to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. An impairment loss is recognised whenever the carrying amount of an asset exceeds its recoverable amount. Recoverable amount is defined as the higher of value in use and net selling price.

H) CONTINGENT LIABILITIES AND ASSETS

A contingent liability is a possible obligation that arises from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association. It can also be a present obligation arising from past events that is not recognised because it is not probable that outflow of economic resources will be required or the amount of obligation cannot be measured reliably. A contingent liability is not recognised but is disclosed in the notes to the financial statements. When a change in the probability of an outflow occurs so that outflow is probable, they will then be recognised as a provision.

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Association. Contingent assets are not recognised but are disclosed in the notes to the financial statements when an inflow of economic benefits is probable. When inflow is virtually certain, an asset is recognised.

I) PROVISIONS

Provisions are recognised when the Association has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of economic resources will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

J) REVENUE RECOGNITION

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Association and the revenue can be reliably measured. Revenue is measured at the fair value of consideration received or receivable.

Income from accidents and searches report is recognised when the significant risks and rewards of ownership have been transferred to the buyers.

Agents' registration fees received by the Association are credited to the income and expenditure statement over the period of the registration.

The entrance fee is recognised in full in the year in which new members are admitted.

Interest income is recognised using the effective interest method.

K) GIA RECORDS MANAGEMENT CENTRE (GIARMC)

On 1 May 1999, a Market Agreement was entered into with members of the Association to operate the Non-Injury Motor Accident Reports Scheme.

In connection with the Scheme, the GIA Records Management Centre (the Centre) was established for the purpose of the archival and retrieval of records.

The Association has appointed E-Trek Solutions Pte Ltd as the manager to provide the staff and facilities to the Centre. Beside that they also keep and maintain the accounting records and bank account for the Centre. E-Trek Solutions Pte Ltd will charge the Association according to the monthly contracted rates for the services rendered.

The Association has terminated the service agreement with E-Trek Solutions Pte Ltd on 23 April 2010. Subsequently, the Association appointed Merimen Technologies (Singapore) Pte Ltd as the new vendor to provide the staff and facilities to manage the Centre. Merimen Technologies (Singapore) Pte Ltd will charge the Association according to the monthly contracted rates.

L) TAXATION

Income tax on the profit or loss for the period comprises current and deferred income taxes. Income tax is recognised in the profit or loss except to the extent that it relates to items recognised directly to equity, in which case it is recognised in equity.

Current tax is the expected tax payable on the taxable income for the period, using tax rates enacted or substantively enacted at the end of the reporting period and any adjustment to tax payable in respect of previous years.

Deferred tax is provided using the statement of financial position method for temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the end of the reporting period.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred tax assets are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

M) FUNCTIONAL AND PRESENTATION CURRENCY

Items included in the financial statements of the Association are measured using the currency of the primary economic environment in which the Association operates ("functional currency"). The financial statements of the Association are presented in Singapore dollars, which is the Association's functional currency.

N) EMPLOYEE BENEFITS

Defined Contribution Plan

As required by law, the Association makes contributions to the Central Provident Fund (CPF). CPF contributions are recognised compensation as expenses in the same period as the employment that gives rise to the contribution.

Employee Leave Entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. Accrual is made for the unconsumed leave as a result of services rendered by employees up to the end of the reporting period.

O) KEY MANAGEMENT PERSONNEL

Key management personnel are those having authority and responsibility for planning, directing and controlling the activities of the Association. The executive director and managers are considered as key management personnel of the Association.

P) OPERATING LEASES

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased item are classified as operating lease. Operating lease payments are recognised as an expense in the income and expenditure statement on a straight-line basis over the lease term.

Q) GOVERNMENT GRANTS – JOBS CREDIT SCHEME

Cash grants received from the government in relation to the Jobs Credit Scheme are recognized upon receipt. Such grants are provided to defray the wage costs incurred by the Association.

NOTE 3

3. PLANT AND EQUIPMENT

COST	OFFICE EQUIPMENT S$	COMPUTERS S$	FURNITURE & FITTINGS S$	RENOVATION S$	WEBSITE DEVELOPMENT S$	TOTAL 2009 S$
At 01.01.2009	14,208	308,492	150,078	19,185	23,000	514,963
Additions	-	27,855	-	-	-	27,855
Transfer	-	23,000	-	-	(23,000)	-
At 31.12.2009/01.01.2010	14,208	359,347	150,078	19,185	-	542,818
Additions	1,790	3,915	-	-	-	5,705
At 31.12.2010	15,998	363,262	150,078	19,185	-	548,523
ACCUMULATED DEPRECIATION						
At 01.01.2009	14,102	305,290	148,836	9,014	-	477,242
Charge For The Year	80	7,351	1,221	6,395	7,667	22,714
Transfer	-	7,667	-	-	(7,667)	-
At 31.12.2009/01.01.2010	14,182	320,308	150,057	15,409	-	499,956
Charge For The Year	306	18,531	21	3,443	-	22,301
At 31.12.2010	14,488	338,839	150,078	18,852	-	522,257
NET BOOK VALUE						
At 31.12.2010	1,510	24,423	-	333	-	26,266
At 31.12.2009	26	39,039	21	3,776	-	42,862

NOTE 4

4. TRADE RECEIVABLES

Trade receivables are non-interest bearing and are generally on immediate to about 30 days terms. They are recognised at their original invoiced amounts which represent their fair values on initial recognised. These receivables are unsecured and the analysis of their aging at the end of the reporting period is as follows:-

TRADE RECEIVABLES	GIA 2010 S$	GIARMC 2010 S$	TOTAL 2010 S$	TOTAL 2009 S$
Not Past Due	3,773	49,883	53,656	51,263
Past Due 1 – 30 Days	7,618	4,377	11,995	4,901
Past Due 31 – 60 Days	1,995	1,737	3,732	4,264
Past Due More Than 60 Days	1,253	3,608	4,861	30,541
	14,639	**59,605**	**74,244**	**90,969**

The trade receivables that are past due at the end of the reporting period but not impaired amounting to S$20,588 (2009: S$39,706). Based on historical experience in the collection of trade receivables, the Management Committee believes that no impairment allowance is necessary as these amounts are still receivable.

NOTE 5

5. DEFERRED TAXATION

DEFERRED TAXATION

	2010 S$	2009 S$
Balance As At The Beginning Of The Year	-	1,253
Transferred To Income And Expenditure Statement (Note 6)	-	(1,253)
Balance As At The End Of The Year	-	-

The balance represents the excess of capital allowances claimed over book depreciation of plant and equipment.

NOTE 6

6. TAXATION

TAXATION

	2010 S$	2009 S$
Provision For Income Tax In Respect Of The Financial Year:-		
Current Year Income Tax	8,700	15,000
Deferred Taxation (Note 5)	-	(1,253)
Overprovision In Prior Years	(14,605)	(12,729)
	(5,905)	**1,018**

The income tax expense on the results for the financial year varies from the amount of income tax determined by applying the Singapore standard rate of income tax to (deficits)/surplus before taxation due to the following factors:-

(Deficits)/Surplus Before Taxation	**(67,491)**	**166,255**
Tax Calculated At A Tax Rate Of 17%	(11,473)	28,263
Expenses Not Deductible For Tax Purposes	49,285	7,533
Income Not Subject To Tax	(18,326)	(5,811)
Singapore Statutory Stepped Income Exemption	(9,543)	(14,981)
Overprovision In Prior Years	(14,605)	(12,729)
Others	1,243	(1,257)
	(5,905)	**1,018**

NOTE 7

7. EXPENDITURE

7.1 COMPUTERISATION SERVICES

	2010 S$	2009 S$
ARCM Expenses Consist Of:-		
- Hard/Software	300	-
- Hardware Maintenance	1,690	1,560
- Meeting And Seminar	600	-
- Litigation Monitoring Services	3,850	4,200
- Storage Fee	423	4,083
- Change Request	2,750	1,975
- Project – Hardware/Software Supplies	-	26,565
- System Support	32,000	30,000
- Hosting Services	84,000	70,000
General Expenses (IT Support)	8,400	10,556
	134,013	**148,939**

7.2 KEY MANAGEMENT'S REMUNERATION

	2010 S$	2009 S$
Salaries And Other Costs	280,039	287,750
Employer's Contribution To CPF	10,008	10,401
	290,047	**298,151**

7.3 MANAGEMENT FEES

Amount paid/payable to E-Trek Solutions Pte Ltd S$149,339 (2009: S$453,629) and Merimen Technologies (Singapore) Pte Ltd S$234,707 (2009: S$NIL) for managing the day-to-day affairs of the Association, as disclosed in Note 2(k) to the financial statements.

7.4 MEETING AND SEMINARS

	2010 S$	2009 S$
Annual General Meeting	12,556	15,967
AIC Meeting	2,883	5,946
EAIC Meeting	7,636	1,265
Meeting And Seminar	640	-
	23,715	**23,178**

7.5 REGIONAL DEVELOPMENT COMMITTEE EXPENSES

	2010 S$	2009 S$
Transportation And Travelling	-	39
Food And Beverage	-	87
Global Internship Programme	174,786	187,970
Courier And Postage	-	34
	174,786	**188,130**

7.6 SPONSORSHIPS/DONATIONS

	2010 S$	2009 S$
5th Young ASEAN Manager Award	-	731
Association of Singapore Insurance Agents – Golf Day	-	2,500
CASE Fundraising Golf Tournament	2,500	2,000
Metta Welfare Association	-	10,000
National Cancer Centre Research Fund	-	7,943
National Crime Prevention Council Charity Golf Tournament 2010	5,000	5,000
National Fire and Civil Emergency Preparedness Council (NFEC) Charity Film Premiere	-	5,000
Singapore Cheshire Home	-	7,057
Singapore Children's Society	15,000	-
Singapore College of Insurance Ltd	-	1,500
Singapore Insurance Institute (SII)	5,000	2,000
	27,500	**43,731**

7.7 STAFF COSTS

	2010 S$	2009 S$
Salaries And Other Costs	333,997	287,859
Employer's Contribution To CPF	47,108	52,883
	381,105	**340,742**

7.8 SUBSCRIPTIONS

	2010 S$	2009 S$
ASEAN Insurance Council	3,457	3,525
National Safety Council Of Singapore	-	600
International Union Of Maritime Insurance	6,243	6,489
	9,700	**10,614**

NOTE 8

8. OPERATING LEASE COMMITMENTS

The Association leases office premises and equipment under non-cancellable operating leases agreement. None of these leases included contingent rent. Office and equipment rental expenses for the financial year were S$249,950 (2009: S$229,121) and S$9,350 (2009: S$9,350) respectively. Future minimum rentals under non-cancellable leases are as follows as of 31 December:-

	2010 S$	2009 S$
Amount Due Within 1 Year	206,853	259,262
Amount Due Within 2 And 5 Years	5,432	212,286
	212,285	**471,548**

NOTE 9

9. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The main risks arising from the Association's financial instruments are credit risk, interest rate risk, foreign currency risk and liquidity risk. The Association does not use derivative and other instruments in its risk management activities. The Association does not hold, use or issue derivative financial instruments for trading purposes. The Management Committee reviews and agrees policies for managing each of these risks and these risks are summarised below:

CREDIT RISK

The main credit risk is from any default by its trade receivables. The Association grants credit only to credit-worthy counter parties. Management Committee also closely monitors all outstanding debts and reviews the collectability of receivables periodically. The Association does not identify any specific concentration of credit risk with regard to the receivables are balances resemble a large number of receivables from a large number of members.

Cash and cash equivalents are deposited in financial institutions with high rating.

The carrying amount of financial assets recorded in the financial statements, net of any provision for losses, represents the Association's maximum exposure to credit risk without taking into account of the value of any collateral or other security obtained.

INTEREST RATE RISK

The Association's exposure to market risk for changes in interest rates relates primarily to the Association's bank balance. However, as at year end, the exposure is insignificant.

FOREIGN CURRENCY RISK

The Association's operational activities are carried out in Singapore dollars. All transactions are paid for in local currency. There is no exposure to any risk arising from movements in foreign currencies exchange rates as the Association has no transactions in foreign currency.

LIQUIDITY RISK

In the management of liquidity risk, the Association monitors and maintains a level of cash and bank balances deemed adequate by the Management Committee to finance the Association's operations and mitigate the effects of fluctuations in cash flows.

NOTE 10

10. CATEGORIES OF FINANCIAL INSTRUMENTS

The following table sets out the financial instruments as at the end of the reporting period:-

ASSETS	2010 S$	2009 S$
Financial Assets		
Loans And Receivables:-		
Trade Receivables	74,244	90,969
Other Receivables And Deposits	98,857	109,024
Cash And Cash Equivalents	383,074	263,738
	556,175	**463,731**
Non-Financial Assets	52,132	110,943
Total Assets	**608,307**	**574,674**
LIABILITIES		
Financial Liabilities		
Amortised Cost:-		
Trade Payables	69,637	44,187
Other Payables	23,233	3,390
Accruals	55,439	9,999
	148,309	**57,576**
Non-Financial Liabilities	22,486	18,000
Total Liabilities	**170,795**	**75,576**

NOTE 11

11. FAIR VALUE

The carrying amount of financial assets and financial liabilities recorded in the financial statements represents their respective fair values, determined in accordance with the accounting policies disclosed in Note 2 to the financial statements.

NOTE 12

12. FRS AND INT FRS NOT YET ADOPTED

The Association has not applied the following Standards and Interpretations that have been issued but not yet effective:

DESCRIPTION		EFFECTIVE FOR ANNUAL PERIODS BEGINNING ON OR AFTER
Amendments To FRS 32	Classification Of Rights Issues	1 February 2010
Amendments To INT FRS 114	Prepayments Of A Minimum Funding Requirement	1 January 2011
Revised FRS 24	Related Party Disclosure	1 January 2011
INT FRS 115	Agreement For The Construction Of Real Estate	1 January 2011
INT FRS 119	Extinguishing Financial Liabilities With Equity Instruments	1 July 2010

The initial application of these Standards, Amendments and Interpretations are not expected to have any material impact on the Association's financial statements.

The Association has not considered the impact of Accounting Standards issued after the end of the reporting period.

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